Investing with Owner-Operators

The Importance of Alignment

by Benjamin Stein and Zachary Sternberg

The two of us have been very fortunate beneficiaries of the tradition of intellectual generosity and mentorship among value investors, a tradition whose roots date back to Benjamin Graham and David Dodd's publication of *Security Analysis*. In the summer of 2004, as a 17-year-old on the beach, one of us worked through the 1940 edition, underlining the following two sections of this timeless classic.

> We must recognize, however, that intrinsic value is an elusive concept . . . The essential point is that security analysis does not seek to determine exactly what is the intrinsic value of a given security. It needs only to establish either that the value is *adequate* to protect a bond or to justify a stock purchase—or else that the value is considerably higher or considerably lower than the market price.
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> It will be evident from the chart that the influence of what we call analytical factors over the market price is both *partial* and *indirect*—partial, because it frequently competes with purely speculative factors which influence the price in the opposite direction; and indirect because it acts through the intermediary of people's sentiments and decisions. In other words, the market is not a *weighing machine*, on which the value of each issue is recorded by an exact and impersonal mechanism, in accordance with its specific qualities. Rather should we say that the market is a *voting machine*, whereon countless individuals register choices which are the product partly of reason and partly emotion.
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> (Survey and Approach, pp. 20–22, 27, 1940 edition)